

THE 25 YEARS TO ZAYNICH

Milestone	Details
Start of antibiotic programme	Early 2000s
Total investment	₹6,800 crore (\$800 million)
Novel molecules discovered	6
Commercialised products	3
FDA-approved molecule	Zaynich
FDA approval	May 2026

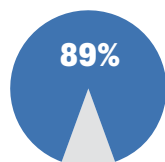
WHILE OTHERS LEFT, WOCKHARDT STAYED

2016 AstraZeneca sells antibiotics business to Pfizer	2018 Novartis exits antibacterial research	2018 Sanofi transfers anti-infectives research to Evotec	2026 Wockhardt secures FDA approval for Zaynich
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CLINICAL TRIAL RESULTS

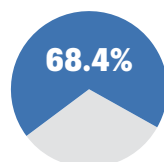
• Zaynich performed far better than its nearest rival

ZAYNICH



CLINICAL SUCCESS RATE

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CLINICAL SUCCESS RATE

tions will be the key. The company has taken initial steps by hiring senior people like a CCO, market access lead, and Chief Medical Officer, but how well they execute will be important to watch.”

“In the US, it will need investment in the first three–four quarters and will break even only after that. Also, the management expects revenue growth to be slower than earlier expectations,” says Abhijeet

Porwal of Deven Choksey Research. “On the other hand, the UK market looks more stable. The government has already committed to pay GBP 20 million per year for Zaynich, which gives a steady and assured income. This has almost no execution risk. The market may not have fully recognised this yet,” he adds.

Khorakiwala does not dispute the commercial challenge but says the comparison with failed

Western antibiotic companies is misleading. “We have invested approximately \$800 million for the antibiotics programme and have six drugs to show for it. Developing a single drug at a major pharmaceutical company can cost approximately \$2.3 billion. Our approach has been frugal innovation.”

With foundational R&D costs already absorbed into past balance sheets, future revenues from Zaynich will flow at substantially higher margins. When asked whether the economics can work, Khorakiwala is unambiguous. “The molecules they pursue need to generate \$1.5 billion to \$2 billion in opportunity, which is inadequate for their level of investment and return expectations. For them it is not viable. For us, it very much is.”

For investors, Zaynich is a major value-creation opportunity because the discovery costs are already behind the company. But the market will closely track the pace of US launch, hospital adoption, reimbursement and pricing because the success of the investment will ultimately be measured not by the approval itself, but by the cash that Zaynich can generate over its commercial life.

Rajesh Pherwani, Founder and Chief Investment Officer at Valcreate Investment Managers LLP, says the approval marks the culmination of years of investment by Wockhardt in antibiotic research. “Based on the numbers shared by the company, the potential returns appear encouraging and indicate a significantly shorter payback period from this stage onward,” he says.

Pherwani says Zaynich could benefit from a relatively less crowded innovation landscape in anti-infectives.

The global antibiotics market is valued over \$53 billion annually,